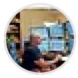
The Gamma Regime Fallacy

Why the Neighborhood Matters More Than the City — and Why a Regime Is Not a Trading Plan



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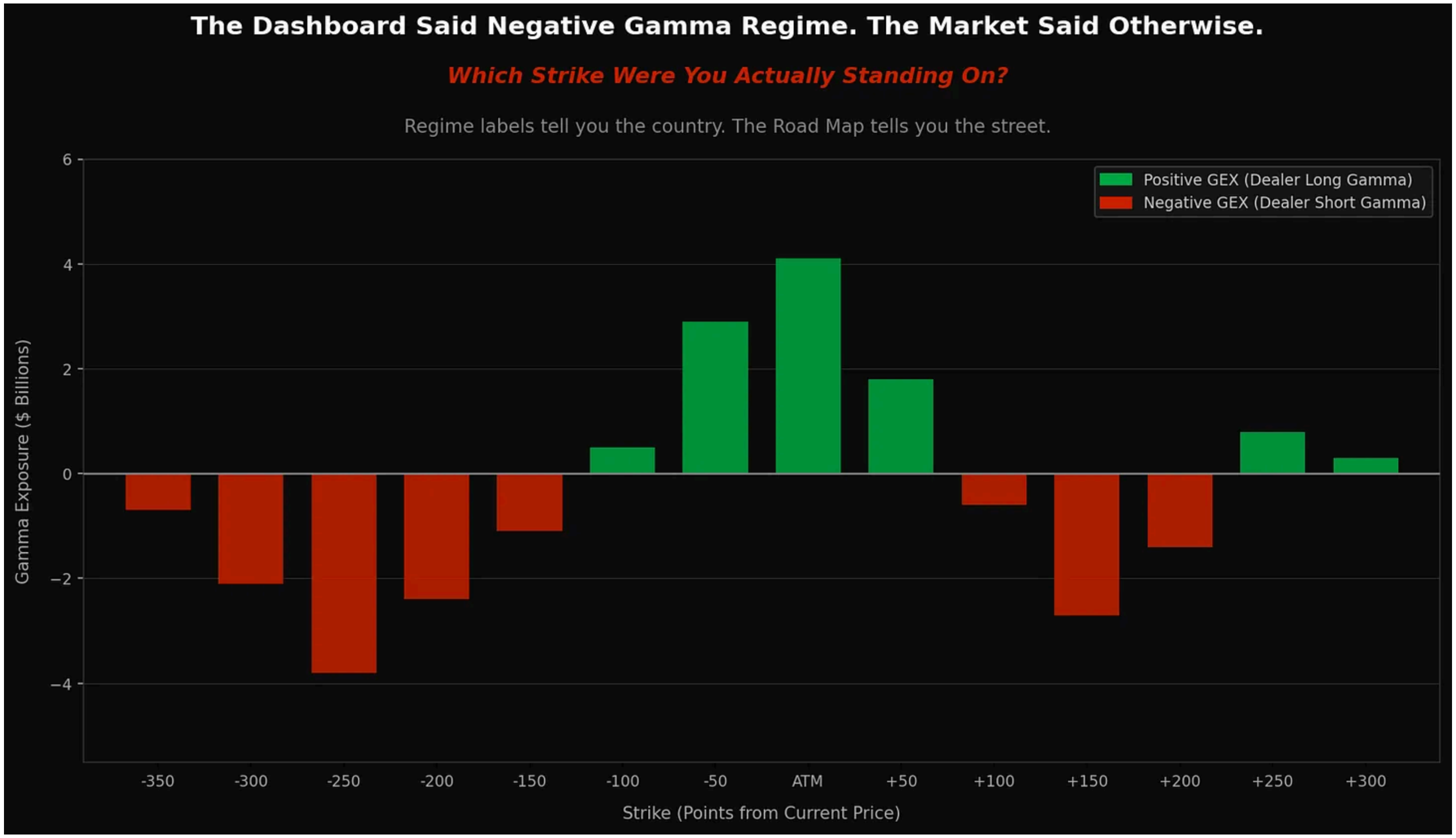
The Gamma Regime Fallacy *Why the Neighborhood Matters More Than the City — and Why a Regime Is Not a Trading Plan*

🗺️ I was reading a piece recently that described a stock as being in a “positive gamma regime.” The comments that followed went exactly where that framing tends to go — people treating the label like a complete answer. A trading plan. A map.

It’s not. And this has been bugging me for a while.

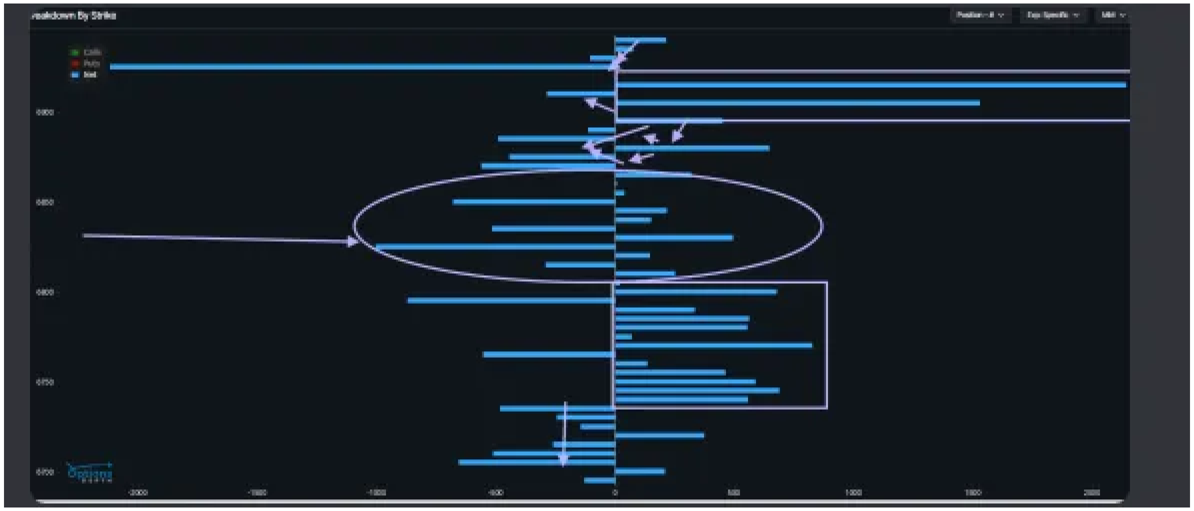


Here's the analogy: saying "we're in a positive gamma regime" is like saying "we're in America." True. Useful as far as it goes. But New York and Arizona are both in America — and they have completely different terrain, climate, and conditions. What works in one state will get you in trouble in the other.

Zoom into New York City itself and you've got Central Park, Wall Street, and Alphabet City — all within a few miles of each other. Same city, completely different neighborhoods. What's safe on one block will get you in trouble on the next one over.

You don't navigate New York City with a map of America. And you don't navigate the gamma landscape with a single regime label.

Every day when I sit down to build my trading plan, I'm not reading a regime. I'm building a Road Map for my subscribers — a detailed, strike-by-strike picture of where the friction is, where the fuel is, and what needs to happen for price to move from one neighborhood to the next. That's what this article is about.



Above Actual Map from 2/17 as an example: bars to the right are Positive Gamma / the left Negative Gamma. Notice positive above and below the ellipse and 'fishbone' patterns (source of chart = Options Depth. Annotation my own from my discord server

> **In Plain Language:** When someone says "we're in a positive gamma regime" they're giving you the country, not the street address. It's a starting point — not a plan.

🔧 How Dealer Hedging Actually Works

Before we talk about what the regime label misses, let's talk about what market makers are actually doing — because this is the mechanical foundation everything else rests on.

Market makers are liquidity providers. Their job is to take the other side of your trade and manage the risk that creates. Their primary mandate is staying delta-neutral — meaning they continuously offset their directional exposure to the underlying so they're not making a directional bet.

When a dealer sells you a call, they inherit a delta exposure they have to hedge. They buy the underlying. When they sell a put, they sell the underlying. Simple enough. But delta is not static — it changes as price moves. The rate at which delta changes is governed by **Gamma** (**Γ**).

Gamma introduces convexity into their book. As price moves, delta shifts, and dealers have to continuously rebalance. The direction and intensity of that rebalancing is what moves markets mechanically — independent of any fundamental narrative.

The popular framework says: positive Net GEX (Gamma Exposure) stabilizes markets, negative GEX amplifies volatility. When dealers are net long gamma, they buy dips and sell rips — acting as a natural shock absorber. When dealers are net short gamma, they do the opposite — they chase price, amplifying moves in both directions.

That framework is real. It's useful. It's just not the whole story.

> **In Plain Language:** Market makers are constantly adjusting their positions to stay neutral — they're not making bets, they're managing risk. That mechanical adjusting is what creates a lot of the price movement you see. Positive gamma means they act like a shock absorber. Negative gamma means they throw gasoline on the fire. But which one is happening depends on where price is sitting — not on a single dashboard number.

🧱 The Strike-Level Reality

Market makers don't manage one big global number. They're managing exposure across hundreds of strikes and expirations simultaneously. They might be comfortably long gamma at one strike and dangerously short at the very next quarter strike — 25 points away. The aggregate signal doesn't show you that.

This is the critical flaw in treating gamma as a binary regime. A dealer book is a landscape, not a light switch. And within that landscape, two structural features drive price behavior more than any aggregate label:

A **gamma wall** is a strike with heavy open interest where dealer hedging creates friction. As price approaches, dealers buy or sell the underlying to stay delta-neutral — and that mechanical activity slows or stalls price movement. Think of it as a fence post in the field. The herd bunches there.

A **gamma vacuum** is the opposite — a stretch of the strike ladder with thin open interest. When price breaks through a gamma wall into a vacuum, there's nothing to slow it down. Dealers don't have positions to hedge, so the mechanical friction disappears. This is where fast, ugly moves happen. This is where people get caught off-side.

The **Gamma Flip** is often marketed as a global signal where dealer behavior shifts from stabilizing to destabilizing at a specific price level. The flip is real as a concept. But treating it as a single global trigger ignores path dependency and localized strike concentrations. A market can be "below the flip" on an aggregate basis and remain stable if price is sitting on a massive put-gamma wall providing mechanical support. Volatility only expands when price breaks through that local concentration into a vacuum.

> **In Plain Language:** Some price levels act like speed bumps — the market slows down, stalls, or pins there. Other areas are wide open highway — once price gets through a wall and into empty space, it moves fast with nothing to stop it. The regime label doesn't tell you where the speed bumps are. The Road Map does.

🔍 The Assumption Underneath the Dashboard

Most GEX calculations rest on what's called the Dealer Counterparty Framework — the assumption that dealers are the counterparties to all customer positions, and that customers are generally long puts (hedging) and short calls (overwriting).

That assumption is a framework, not a fact. And it's increasingly fragile.

A single large institutional position — a quarterly collar, a structured hedge, a big directional bet — can create a localized gamma pocket that runs directly opposite to the aggregate signal. The dashboard doesn't know that. It's working from open interest snapshots updated once every 24 hours. By the time you read the morning report, the intraday 0DTE positioning has already shifted the actual landscape.

> **In Plain Language:** The data behind most regime tools is already a day old before you read it. One big institutional trade can flip the local picture entirely — and the dashboard won't show it. You're navigating today's roads with yesterday's map.

⚡ What the Regime Label Misses

Vanna — this is how an option's delta changes as implied volatility shifts. For market makers who are short out-of-the-money puts, a volatility spike forces their delta to become more negative — meaning they have to sell more underlying to stay hedged. That selling drops price, which raises vol more, which forces more selling. A reflexive, self-reinforcing loop.

The scale of this matters. Aggregate Vega exposure across the market can reach into the trillions of dollars — often dwarfing the flows attributed to gamma hedging alone. And it operates completely independent of whether the aggregate gamma regime reads positive or negative. You can be sitting in "positive gamma" territory on the dashboard and still get hit by a Vanna cascade if vol spikes hard enough.

🕰️ **Charm** — this is the time dimension, sometimes called Delta Decay. It measures how delta evolves as options approach expiration. For dealers holding long out-of-the-money puts, time reduces the need for a short-delta hedge — which means they're passively buying back the underlying throughout the day as their hedge requirement shrinks. This Charm Flow acts as a quiet mechanical bid, often supporting prices during low-volatility sessions. It's real. It's structural. And it's invisible to most regime dashboards.

🔥 **0DTE** — Zero days to expiration options now represent a massive portion of daily SPX volume. These contracts carry a short fuse — the closer to expiration and the closer price is to the strike, the more explosive the dealer response to any move. A small shift in the underlying creates enormous delta changes that dealers have to hedge immediately.

The result is that the gamma landscape gets reshaped intraday by 0DTE flows. A midday reset often occurs where price gets pinned between strikes while 0DTE positions are rolled, shifting the effective zero-gamma level by several points during the session. The dashboard from this morning isn't showing you that.

> **In Plain Language:** Three forces are running underneath the market that most regime charts don't show. Vanna kicks in when volatility spikes and can create a selling spiral that has nothing to do with the gamma read. Charm is the quiet time-based bid that holds prices up during slow sessions — it fades as the day progresses. And 0DTE options are essentially live wires — once price gets close to a strike near expiration, dealer hedging becomes immediate and explosive. All three can override whatever the regime dashboard is saying.

💡 A Word on the Analytics Ecosystem

Real derivatives data isn't cheap. Access to granular CBOE data costs thousands of dollars a month. The infrastructure to process it properly is complex. Subscription services do genuine work bridging that gap for retail traders — I'm not dismissing that.

But there's an important difference between a tool that gives you a starting point and a tool that gives you a complete answer. When multi-dimensional, strike-by-strike exposure data gets compressed into a single color-coded binary signal, something gets lost.

A few things worth keeping in mind when reading any analytics platform: the data is backward-looking, updated once daily, and doesn't capture intraday 0DTE shifts. The dealer counterparty assumption is a model, not a measurement. And hedging flows, while structural and real, are often a fraction of total ambient volume — their impact varies significantly by conditions, concentration, and time of day.

None of this makes GEX analysis wrong. It makes it one lens among several — a weather report, not a navigation system.

> **In Plain Language:** The tools are useful — but they're selling you simplicity because simplicity is what sells. Know what you're getting: a compressed, backward-looking snapshot of one dimension of a multi-dimensional system. Use it as context. Don't use it as a conclusion.

🧭 The Takeaway

Aggregate GEX is a starting point — context, not conclusion. The volatility trigger isn't one global line. It's a series of local thresholds spread across the strike ladder.

Some neighborhoods provide friction. Some provide fuel. Some are walls. Some are vacuums.

The gamma landscape is a topographic map. Some zones create drag — positive gamma walls, charm support, mechanical pinning. Some zones create acceleration — negative gamma, vanna cascades, vacuum runs. Knowing which zone price is moving through is the difference between reading the tape and being surprised by it.

When you hear "gamma regime," the right follow-up questions are: at which strike? In which direction? With what volatility assumption? At what time of day?

That's not being difficult. That's the difference between having a map of America and having a turn-by-turn Road Map for the exact streets you're driving today.

Every morning I build that Road Map for SPX — the walls, the vacuums, the IF/THEN scenarios for how price moves from one neighborhood to the next. If you want to see how all of this plays out in real time, with the nuance the regime label can't give you, come join us. The daily Road Map is where the theory meets the tape.

Gotta WATCH the FLOW to be in the KNOW.

– Doc

QUANTUITION: Analytics combined with Edge from Experience. "The eye of experience sees nuance where the inexperienced see only noise." – Sherlock Holmes

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